Theory 3 Changelog

This file tracks successive revisions of Theory 3 ("Bifurcated outcome: Americas stabilizes at a structurally lower base while China/RoW carries the growth story") as new evidence is reviewed. Each entry is dated and states whether the revision is materially different from prior versions.

2026-07-24 — Revision 1 (post-validation)

Context: First revision, following a validation pass against available evidence (see `work_products/issue1/theory` for full reasoning). No prior version of Theory 3 exists in this file, so this is the baseline entry. This validation was done after the Theory 1 and Theory 2 validations (`theory1_validation.md`, `theory2_validation.md`), and reuses much of the same evidence base.

Theory 3 (updated): Lower-base stabilization is well supported; "market maturation" is a real but partial explanation, not the dominant one

What changed from the original Theory 3: The original thesis had two parts: (a) a *diagnosis* that the Americas slowdown is primarily market/store-base maturation rather than brand fatigue or fixable execution, and (b) a *trajectory* in which Americas troughs and stabilizes at a permanently smaller base while China/RoW dilutes Americas' share of revenue. Validation (`theory3_validation.md`) leaves (b) well supported and only partially supports (a):

- **Trajectory, strengthened:** The China/RoW mix-shift mechanism is not a projection but an already multi-year-observed trend — Americas fell from 84.1% of revenue (FY2022) to 70.7% (FY2025) while China Mainland rose from 7.1% to 15.8% (eightx teardown, sourced to LULU 10-K Note 14/Note 23). Declining sales-per-square-foot ($1,574 → $1,426, 2024→2025) despite continued store openings corroborates a productivity-plateau read. The tariff-driven ~$275M FY2025 gross-profit hit is geography-based and persists regardless of the Americas demand outcome, supporting Theory 3's specific claim that margins stay structurally below FY2023–FY2024 levels even in a stabilization scenario.
- **Diagnosis, only partially supported:** Independent, non-company-sourced analysts now explicitly corroborate the maturation framing — GlobalData's Neil Saunders describes lululemon's Americas position as "highly saturated in terms of store numbers and consumer penetration," and the Seapoint store-lifecycle analysis (Phase 1–4 framework) makes a rigorous, arithmetic-backed case that flat/declining comps in a highly penetrated store base is a normal maturity feature, not brand decay. But this is not the whole picture: the same body of evidence assembled for the Theory 1 validation (April 2026 foot-traffic data showing lululemon's category share falling 9 points while Alo Yoga's more than quintupled; the January 2026 brand-favorability survey; Piper Sandler's teen-brand-ranking data) shows a real, quantified, *competitive* share transfer to named rivals — a distinct mechanism from a brand-neutral market ceiling. Category-level data (Circana/Euromonitor) also shows the broader US activewear category still growing +3–7%, which argues against "the market itself has stopped growing" and more toward "lululemon specifically is losing share within a still-growing category" — Theory 1's mechanism, not Theory 3's. Additionally, the pace of decline accelerated from Americas comps of -3% (FY2025) to -5%/-6% cc (Q1 FY2026), which is faster than a pure lifecycle-maturation plateau would predict and looks more like an active demand shock layered on top of the maturing base.

Updated thesis statement: Lululemon's North American store base and brand penetration are genuinely mature (independently corroborated by GlobalData and store-productivity data), and this maturity is a real, structural contributor to why comps are flat-to-negative and why China/RoW is mechanically taking a growing share of consolidated revenue — that part of the original Theory 3 holds up well and is probably the best-supported single claim across all three theories. However, "maturation" alone does not fully explain either the *magnitude* of the FY2025–FY2026 Americas decline or its *recent acceleration* (-3% to -6% cc across two periods); a meaningful portion of the shortfall is better explained by measurable, dollar-and-share-point competitive transfer to Alo Yoga, Vuori, and NikeSKIMS (Theory 1's mechanism), compounding on top of the maturation ceiling. The realistic picture is additive, not either/or: a mature, saturated Americas store base (Theory 3) is losing incremental share to well-funded, fashion-forward challengers (Theory 1) faster than pure demographic/penetration maturation alone would produce, while operational fixes (Theory 2) are real but slow and only partially offsetting. The trajectory Theory 3 describes — stabilization at a lower base, not a return to FY2023–2024 levels, with China/RoW carrying growth and margins staying structurally below prior peaks because of tariffs — remains the most likely outcome.

Is this materially different from another theory in this file? No — not materially, once corrected. This updated Theory 3 converges on essentially the same forecast as updated Theory 1 (`theory1_changelog.md`) and updated Theory 2 (`theory2_changelog.md`): a multi-year, bounded, lower-base stabilization in Americas, with China/RoW as the primary growth engine and margins structurally capped below FY2023–FY2024 levels by tariffs. All three updated theories now describe the same outcome; the residual disagreement, as already noted in the Theory 1 and Theory 2 changelogs, is about which lever — competitive share transfer (Theory 1), execution pace (Theory 2), or store-base/category maturation (Theory 3) — is most responsible for that shared outcome. The evidence gathered here supports treating this as a blend (maturation sets the structural ceiling; competitive share loss explains the magnitude and recent acceleration of the shortfall within that ceiling; execution fixes are real but slow) rather than any single one of the three being the sole correct explanation. The minor distinguishing value Theory 3 retains is that it is the only one of the three whose *causal mechanism* (store-base/category maturation) is corroborated by genuinely independent, non-overlapping third-party sources (GlobalData, Seapoint's lifecycle arithmetic, the earlier-vintage itiger analysis) rather than resting primarily on management commentary or a single sell-side note, which is why its outcome forecast — rather than its causal story taken in isolation — is the most durable part of the theory.

Probability assessment: See `work_products/issue1/theory3_validation.md` — Probability of the original Theory 3 (as stated in `theories.md`) being correct: 45%.